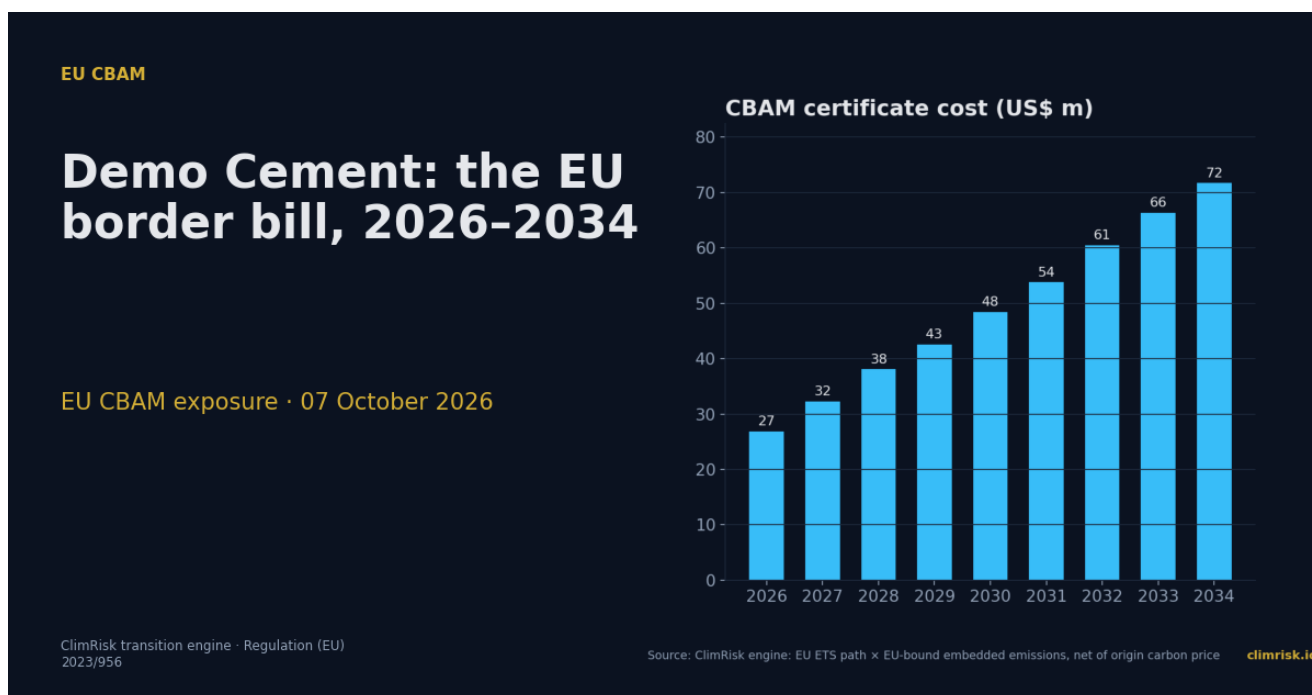


Demo Cement: the EU border bill, 2026–2034

Cement (CN 2507, 2523). EU-bound emissions of 415,000 t CO₂e a year turn into a certificate cost of \$26.9m in 2026 rising to \$71.7m by 2034; the peak year is \$71.7m [1].

ClimRisk transition engine · 2026-10-07



2026. The definitive period of the EU carbon border mechanism puts a price on the carbon inside imported cement (cn 2507, 2523). For Demo Cement, the engine takes the EU-bound share of production, multiplies by the embedded intensity of 0.83 t per unit, and prices it at the EU ETS path less any carbon price already paid at origin [1]. The result starts at \$26.9m in 2026 (2.2% of revenue) and peaks at \$71.7m in 2034.

Demo Cement at the EU border in six numbers

What the certificate bill is made of

0.83 t

embedded CO₂ per unit

regulation default or measured

415,000 t

EU-bound emissions a year

production × EU share × intensity

€60/t

net price in 2026

EU ETS less origin price

2.2%

of revenue in 2026

certificate cost / revenue

\$71.7m

peak annual cost (2034)

ClimRisk transition engine

€0/t

origin carbon price deducted

Art. 9 deduction

Source: ClimRisk transition engine; Regulation (EU) 2023/956; EU ETS path (NGFS / EMBER)

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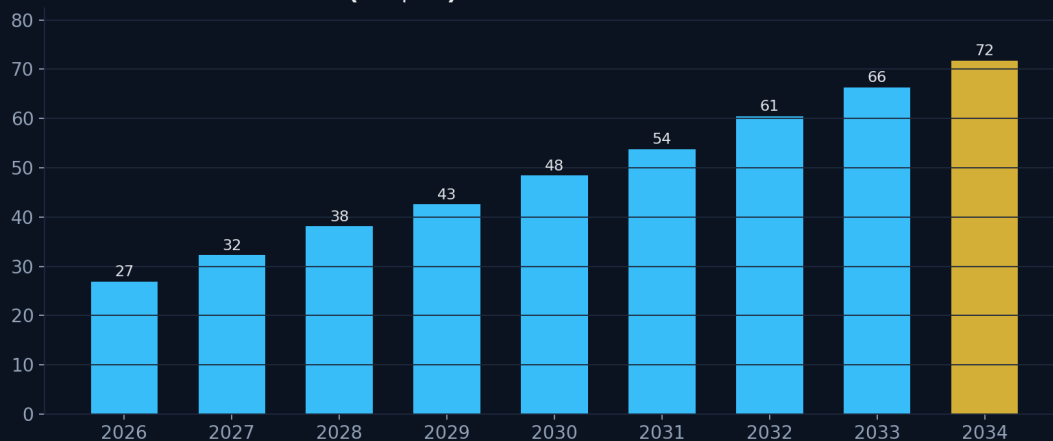
Each number is computed by the engine from the inputs on the cover.

\$71.7m in 2034

From \$26.9m in 2026: the bill is emissions times net price, and both move. Every €10/t of origin carbon price removes \$4.2m a year.

The loud number: the bill

CBAM certificate cost (US\$ m)



Source: ClimRisk engine: EU ETS path (NGFS / EMBER) × EU-bound embedded emissions, net of origin carbon price

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EU ETS price path × EU-bound embedded emissions, net of the origin carbon price [1][2].

Year	EU ETS €/t	Origin price €/t	Net €/t	Cost US\$ m	% of revenue
2026	60	0	60	26.9	2.24%
2027	72	0	72	32.3	2.69%
2028	85	0	85	38.1	3.17%
2029	95	0	95	42.6	3.55%

Year	EU ETS €/t	Origin price €/t	Net €/t	Cost US\$ m	% of revenue
2030	108	0	108	48.4	4.03%
2031	120	0	120	53.8	4.48%
2032	135	0	135	60.5	5.04%
2033	148	0	148	66.3	5.53%
2034	160	0	160	71.7	5.98%

The quiet part: what moves the bill

Process emissions from calcination are fixed by chemistry; only fuel, clinker ratio and capture move the footprint. The bill is emissions times net price. Two levers sit outside the price path: the embedded intensity (a measured value beats the default) and the origin carbon price, which is deducted under Article 9.

The default intensity used is 0.83 t per unit. A plant with verified emissions below the default pays less; one above it pays more. Origin price deduction today: €0/t, so every €10/t of origin price removes \$4.2m a year.

What this means, by reader

For the exporter. Get the plant's verified embedded emissions: the default is a ceiling you may not need to accept.

For the EU importer. The certificate cost lands on the importer of record and will appear in price negotiations; ask for the verified figure.

Method and limitations

EU CBAM Regulation 2023/956 (Annex I: Cement (CN 2507, 2523)). Embedded carbon intensity: 0.83 tCO₂e/unit (IEA WEO 2023 / EC CBAM Technical Guidance). EU-bound exports: 25% of revenue (~415,000 tCO₂e/yr). Origin carbon price deduction: EUR 0/tCO₂ (IN). Certificate price tracks EU ETS (NGFS Phase 4 / EMBER). The certificate price follows the EU ETS path in the model; actual prices will differ. Only direct emissions (and, for cement, indirect) of covered goods are counted.

How ClimRisk measured this

- Scope → Annex I sector check against Regulation (EU) 2023/956.
- Emissions → production × EU share × embedded intensity (default unless measured).
- Price → EU ETS path calibrated to NGFS / EMBER, less the origin carbon price.
- Output → annual certificate cost and its share of revenue.

Sources

1. Regulation (EU) 2023/956 establishing a carbon border adjustment mechanism <https://eur-lex.europa.eu/eli/reg/2023/956/oj>
2. EU ETS price path: NGFS Phase 5 / EMBER-calibrated (ClimRisk engine) <https://ember-climate.org/data/data-tools/carbon-price-viewer/>

Produced by the ClimRisk engine from the sources listed. Model outputs with the limitations stated; not forecasts or investment advice.